REBATE REPORT · AUDIT WORKSHEET

Five Rebate Terms. Five Definitions the PBM Wrote. *Four Sit Outside the Pass-Through Clause.*

Three audit passes. One rebate report. The gap is rarely the contracted percentage.

> This worksheet decodes the five rebate terms that determine what your plan actually receives versus what the report says: gross rebate, net pass-through rebate, price protection rebate, administrative fee, and manufacturer drug education / data licensing payment. The audit runs in half a day and surfaces the gap between gross rebate and net pass-through that rarely matches the contracted percentage.

01 Gross rebate vs. net rebate

Open the rebate report. Find total gross rebate dollars and total net rebate dollars (the amount that flowed to the plan). Calculate the gap.

Then go to your contract and find the rebate pass-through percentage clause. Multiply gross rebate by the contracted pass-through percentage. Compare to actual net rebate.

If actual net rebate is below the contracted percentage, the contract typically requires reconciliation. Many PBMs do not flag this on their own.

02 Rebate categorization audit

The plan sponsor's pass-through clause applies to "rebates" as the contract defines them. PBM rebate aggregators have a financial interest in classifying manufacturer payments as something other than rebates: administrative fees, data licensing fees, drug education payments, manufacturer support payments. Each of those categories typically sits outside the rebate pass-through clause.

Pull the report's category breakdown. Total all manufacturer-funded categories. Calculate what percentage are classified as "rebate" vs. "fee" vs. "other." If the fee-and-other share is climbing year-over-year, the plan is losing pass-through dollars to category reclassification.

03 Rebate-per-claim trend

Calculate rebate per brand claim by dividing total net rebate by total brand claims for the period. Track this quarterly.

Declining rebate-per-claim with rising specialty share usually signals manufacturer payments shifting into excluded categories. Rising rebate-per-claim with rising gross spend may mean the rebate is keeping pace with cost rather than driving net cost down. Both patterns deserve a follow-up question to the PBM.

04 The Pattern PBS Sees Most Often

> **Across approximately 100 PBM contract reviews and audits annually at PBS:** the gap between gross rebate and net rebate is rarely the contracted pass-through percentage. It is usually a few percentage points lower, and the difference is captured in administrative-fee or data-licensing categories that the PBM classifies outside the rebate definition.

05 Paste-Ready: Send to Your Broker or PBM

DATA REQUEST · TO YOUR PBM ACCOUNT TEAM

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Subject: Rebate report audit — last four quarters

Please provide the following rebate-flow data:

  1. Total gross manufacturer rebate dollars by quarter, broken out by
     therapeutic category and by drug name (top 50).
  2. Total net pass-through rebate dollars actually paid to the plan, by
     quarter, with the pass-through percentage applied.
  3. Manufacturer-payment category breakdown for each quarter:
        a. Rebate (per pass-through clause)
        b. Administrative fee
        c. Data licensing fee
        d. Drug education / programming payment
        e. Price protection rebate
        f. Other manufacturer payments (specify)
  4. Year-over-year comparison of category-share for items a-f above.
  5. Rebate per brand claim by quarter, with channel breakdown
     (retail / mail / specialty).

This data is for internal contract performance audit. Delivery requested
within 14 business days.
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06 This Quarter's Action Plan

STEP 1 · THIS WEEK

Pull last four quarterly rebate reports

Run the three comparison passes. Document the per-quarter gap in dollars.

STEP 2 · WEEK 2

Open the contract's rebate definition + pass-through clause

Note which categories are explicitly included or excluded. Map your H1 fee-share to those clauses.

STEP 3 · WEEK 3

Bring the gap to your broker

Audit history is the strongest renewal-negotiation asset a plan sponsor has. Document the variance with dates and dollar magnitude.

STEP 4 · AT RENEWAL

Negotiate the rebate definition explicitly

Force the contract to include manufacturer-direct payments in the pass-through definition, not exclude them. This is the single most consequential redline in the rebate clauses.